rupees of which 14,246 million was in the form of loans while 2,975 million was from outright grants. Japan had donated 756 million rupees for a hospital while the USA had earmarked Sri Lanka as one of the chosen few in its new private enterprise linked aid package. The USA opened a new office in Colombo known as 'Bureau of Private Enterprises,' which the R&AW suspected was a front for espionage activities. On the face of it, the American bureau was to create a climate for private investment and also assist the American private sector to identify new projects in Sri Lanka and finance them. Agrobusiness projects and financial intermediaries who could serve as mid-sized entrepreneurs had been identified as the ideal investment opportunities for Americans in Sri Lanka.

But on the security front, Sri Lanka was losing its grip.

Tiger Liberation Movement

Alarmed by increasing terrorism that culminated in the murders of five senior police officials in north Sri Lanka, the government passed two extraordinary laws. The first proscribed the Tiger Liberation Movement and the other authorised the courts to refuse bail to any person accused of committing certain specified offences until the trial had been completed. The debate that ensued after the bills were introduced once again highlighted the antipathies between the Tamils and the Sinhalese.

The Tamil United Liberation Front (TULF) was the dominant voice of the Tamils and it rose to prominence after promising a separate independent state consisting of the predominantly Tamil speaking areas of the northern and eastern provinces in Sri Lanka. However, after elections, the TULF lost its monolithic